

Recovery Plans

Source: <https://www.prarulebook.co.uk/prarules/recovery-plans/03-03-2026>

Effective Date: 03-03-2026

Type: PRA Rule

Scraped: 2026-03-02 20:53

1

Application and Definitions

1.1

Unless otherwise stated, this Part applies to a _BRRD undertaking_.

1.2

In this Part, the following definitions shall apply:

Article 1(1)(b) entity

means a financial institution that is established in the UK when the financial institution is a subsidiary of a credit institution or investment firm, or of an Article 1(1)(c) entity or an Article 1(1)(d) entity, and is covered by the supervision of the parent undertaking on a consolidated basis in accordance with Articles 6 to 17 of CRR.

Article 1(1)(c) entity

means a financial holding company, mixed financial holding company or mixed activity holding company that is established in the UK.

Article 1(1)(d) entity

means a UK parent financial holding company or a UK parent mixed financial holding company.

competent authority

means:

1. (1) the PRA, in respect of PRA-authorised persons;
2. (2) the FCA, in respect of any other person.

conditions for early intervention

means where an institution infringes or is likely in the near future to infringe the requirements of the CRR, any of Articles 3 to 7, 14 to 17 and 24, 25 and 26 of MiFIR or requirements implementing CRD or MiFID II.

consolidating supervisor

means a competent authority responsible for the exercise of supervision on a consolidated basis of:

1. (1) a UK parent institution; or
2. (2) institutions controlled by a UK parent financial holding company or a UK parent mixed financial holding company.

extraordinary public financial support

means, support of a kind described in section 3(1) of the Banking Act 2009 that is provided in order to preserve or restore the viability, liquidity or solvency of an institution or Article 1(1)(b) entity, Article 1(1)(c) entity, Article 1(1)(d) entity or of a group of which such an institution or entity forms part.

management body

means a BRRD undertaking's body or bodies, which are appointed in accordance with national law, which are empowered to set the BRRD undertaking's strategy, objectives and overall direction, and which oversee and monitor management decision-making, and include the persons who effectively direct the business of the BRRD undertaking.

own funds requirement

means the requirements laid down in Articles 92 to 98 of the CRR.

parent undertaking

has the meaning given in Article 4(1)(15) of the CRR.

solvent exit

means the process through which a firm ceases to carry on its PRA regulated activities while remaining solvent.

solvent exit analysis

means a document setting out a firm's preparations for solvent exit.

* Future version of 1.2 after 01/01/2027

1.3

Unless otherwise defined, any italicised expression used in this Part and in the CRR has the same meaning as in the CRR.

2

Recovery Plans

2.1

This Chapter applies to a firm that is not part of a group subject to consolidated supervision by a consolidating supervisor.

[Note: Art. 5(1) of the BRRD]

2.2

A firm must draw up and maintain a recovery plan providing for measures to be taken by the firm to restore its financial position following a significant deterioration of its financial situation.

[Note: Art. 5(1) of the BRRD]

2.3

A firm must submit its recovery plan to the PRA.

[Note: Art. 6(1) of the _BRRD_]

2.4

A _firm_ must provide its _recovery plan_ to the _PRA_ by online submission through:

1. (1) email; or
2. (2) the appropriate systems made available to _firms_.

2.5

A _recovery plan_ must not assume any access to or receipt of _extraordinary public financial support_.

[Note: Art. 5(3) of the _BRRD_]

2.6

A _recovery plan_ must include, where applicable, an analysis of how and when the _firm_ may apply, in the conditions addressed by the plan, for the use of central bank facilities and must identify those assets which would be expected to qualify as collateral.

[Note: Art. 5(4) of the _BRRD_]

2.7

The _recovery plan_ must include the information set out in Section A of the Annex to the _BRRD_.**

[Note: Art. 5(5) of the _BRRD_]

2.8

A _recovery plan_ must include possible measures which could be taken by the _firm_ where the _conditions for early intervention_ are met.

[Note: Art. 5(5) of the _BRRD_]

2.9

A _recovery plan_ must include appropriate conditions and procedures to ensure the timely implementation of recovery actions as well as a wide range of recovery options.

[Note: Art. 5(6) of the _BRRD_]

2.10

A _recovery plan_ must contemplate a range of scenarios of severe macroeconomic and financial stress relevant to the _firm's_ specific conditions including system-wide events and stress specific to individual legal persons and to _groups_.

[Note: Art. 5(6) of the _BRRD_]

2.11

A _firm_ must demonstrate to the _PRA_ that the _recovery plan_ meets the requirements set out in this Chapter and the following criteria:

1. (1) the implementation of the arrangements proposed in the _recovery plan_ is reasonably likely to maintain or restore

the viability and financial position of the _institution_ or of the _group_ , taking into account the preparatory measures that the _institution_ has taken or has planned to take;

2. (2) the _recovery plan_ and specific options within the _recovery plan_ are reasonably likely to be implemented quickly and effectively in situations of financial stress and avoiding to the maximum extent possible any significant adverse effect on the financial system, including in scenarios which would lead other _institutions_ to implement _recovery plan_ within the same period.

[Note: Art. 6(1) of the _BRRD_]

3

Group Recovery Plans

3.1

This Chapter applies to a _BRRD undertaking_ which is:

1. (1) a UK parent undertaking unless _the FCA_ is the _consolidating supervisor_ of its _group_ ;
2. (2) [deleted.]

3.2

If the _consolidating supervisor_ is the _PRA_ , a _BRRD undertaking_ must draw up a _group recovery plan_ and submit the _group recovery plan_ to the _PRA_.

[Note: Art. 7(1) of the _BRRD_]

3.3

The _group recovery plan_ must consist of a recovery plan for the _group_ headed by the _UK parent undertaking_ as a whole.

[Note: Art. 7(1) of the _BRRD_]

3.4

A _BRRD undertaking_ which is required by 3.2 to submit the _group recovery plan_ to the _PRA_ must provide its _recovery plan_ to the _PRA_ by online submission through:

1. (1) email; or
2. (2) the appropriate systems made available to _BRRD undertakings_.

3.5

The _group recovery plan_ must identify measures that may be required to be implemented at the level of the _UK parent undertaking_ and each individual _subsidiary_.

[Note: Art. 7(1) of the _BRRD_]

3.6

The _group recovery plan_ must aim to achieve the stabilisation of the _group_ as a whole, or any _institution_ of the _group_ , when it is in a situation of stress so as to address or remove the causes of the distress and restore the financial position of the _group_ or the _institution_ in question, at the same time taking into account the financial position of other _group_ entities.

[Note: Art. 7(4) of the _BRRD_]

3.7

The _group recovery plan_ must include arrangements to ensure the coordination and consistency of measures to be taken at the level of the _UK parent undertaking_ , at the level of an _Article 1(1)(c) entity_ or _Article 1(1)(d) entity_ , as well as measures to be taken at the level of a _subsidiary_.

[Note: Art. 7(4) of the _BRRD_]

3.8

The _group recovery plan_ must include the elements specified in 2.6 ? 2.9. The _group recovery plan_ must include, where applicable, arrangements for intra-group financial support adopted pursuant to an agreement for intra-group financial support that has been concluded in accordance with The Bank Recovery and Resolution (No 2) Order 2014 (2014/3348) or Group Financial Support 2 ? 8.

[Note: Art. 7(5) of the _BRRD_]

3.9

The _group recovery plan_ must include a range of recovery options setting out actions to address a range of scenarios of severe macroeconomic and financial stress relevant to the _group?s_ specific conditions including system-wide events and stress specific to individual legal persons and to _groups_.

[Note: Art. 7(6) of the _BRRD_]

3.10

For each scenario, the _group recovery plan_ must identify whether there are obstacles to the implementation of recovery measures within the _group_ , including at the level of individual entities covered by the plan, and whether there are substantial practical or legal impediments to the prompt transfer of _own funds_ or the repayment of liabilities or assets within the _group_.

[Note: Art. 7(6) of the _BRRD_]

3.11

A _BRRD undertaking_ that is a _firm_ must demonstrate to the _PRA_ that the _group recovery plan_ meets the requirements set out in this Chapter and the following criteria:

1. (1) the implementation of the arrangements proposed in the _group recovery plan_ is reasonably likely to maintain or restore the viability and financial position of the _group_ or of an individual _subsidiary_ in the _group_ , taking into account the preparatory measures that the individual _subsidiary_ has taken or has planned to take; and
2. (2) the _group recovery plan_ and specific options within the _group recovery plan_ are reasonably likely to be implemented quickly and effectively in situations of financial stress and avoiding to the maximum extent possible any significant adverse effect on the financial system, including in scenarios which would lead other _institutions_ to implement _group recovery plans_ within the same period.

[Note: Art. 6(1) of the _BRRD_]

3.12

A _BRRD undertaking_ that is a _qualifying parent undertaking_ must make arrangements to ensure it is demonstrated to the _consolidating supervisor_ that the _group recovery plan_ meets the requirements set out in this Chapter and the

following criteria:

1. (1) the implementation of the arrangements proposed in the _group recovery plan_ is reasonably likely to maintain or restore the viability and financial position of the _group_ or of an individual _subsidiary_ in the _group_ , taking into account the preparatory measures that the individual _subsidiary_ has taken or has planned to take; and
2. (2) the _group recovery plan_ and specific options within the _group recovery plan_ are reasonably likely to be implemented quickly and effectively in situations of financial stress and avoiding to the maximum extent possible any significant adverse effect on the financial system, including in scenarios which would lead other _institutions_ to implement _group recovery plans_ within the same period.

[Note: Art. 6(1) of the _BRRD_]

4

Review of Recovery Plan and Group Recovery Plan

4.1

This Chapter applies to a _BRRD undertaking_ which is required to draw up a _recovery plan_ or _group recovery plan_ under 2 or 3.

4.2

A _BRRD undertaking_ that is a _firm_ must:

1. (1) review its _recovery plan_ or _group recovery plan_ at least once a year; and
2. (2) keep its _recovery plan_ or _group recovery plan_ up to date, which includes ensuring that it is updated to reflect any change to the legal or organisational structure of the _firm_ or _group_ , its business or its financial situation, which could have a material effect on, or necessitates a change to, the _recovery plan_ or _group recovery plan_.

[Note: Art. 5(2) of the _BRRD_]

4.3

A _BRRD undertaking_ that is a _qualifying parent undertaking_ must make arrangements to ensure that:

1. (1) its _group recovery plan_ is reviewed at least once a year; and
2. (2) its _group recovery plan_ is kept up to date, which includes ensuring that it is updated to reflect any change to the legal or organisational structure of the _group_ , its business or its financial situation, which could have a material effect on, or necessitates a change to, the _group recovery plan_.

[Note: Art. 5(2) of the _BRRD_]

4.4

A _firm_ must notify the _PRA_ of any material changes made to its _recovery plan_ promptly and, in any event, within one month of making any such change.

4.5

A _BRRD undertaking_ which is required by 3.2 to submit a _group recovery plan_ to the _PRA_ must notify the _PRA_ of any material changes made to its _group recovery plan_ promptly and, in any event, within one month of making any such change.

5

Governance Arrangements

5.1

This Chapter applies to a _BRRD undertaking_ which is required to draw up a _recovery plan_ or a _group recovery plan_ under 2 or 3.

5.2

A _firm_ which is required to draw up a _recovery plan_ must, taking into account the nature, scale and complexity of its business, establish and maintain appropriate internal processes regarding the governance of its _recovery plan_ and must:

1. (1) ensure that its _management body_ oversees, assesses and approves the _recovery plan_ before the _firm_ submits the _recovery plan_ to the _PRA_ ;
2. (2) ensure that its audit committee periodically reviews the _recovery plan_ ; and
3. (3) nominate an executive _director_ who is a member of the _firm?s_ _management body_ to have responsibility for the ___recovery plan_ and for overseeing the internal processes regarding its governance.

5.3

A _BRRD undertaking_ which is required to draw up a _group recovery plan_ must, taking into account the nature, scale and complexity of its business and the business of other members of its _group_ , establish and maintain appropriate internal processes regarding the governance of the _group recovery plan_ and must:

1. (1) ensure that its _management body_ oversees, assesses and approves the _group recovery plan_ before the _BRRD undertaking_ submits the _group recovery plan_ to the _consolidating supervisor_ ;
2. (2) ensure that its audit committee periodically reviews the _group recovery plan_ ; and
3. (3) nominate an executive _director_ who is a member of the _BRRD undertaking?s_ __management body_ to have responsibility for the _group recovery plan_ and for overseeing the internal processes regarding its governance.

[Note: Art. 5(9) and 7(7) of the _BRRD_]

6

Recovery Plan and Group Recovery Plan Indicators

6.1

This Chapter applies to a _BRRD undertaking_ which is required to draw up a _recovery plan_ or _group recovery plan_ under 2 or 3.

6.2

A _recovery plan_ and a _group recovery plan_ must include a framework of indicators established by the _BRRD undertaking_ which identifies the points at which appropriate actions referred to in the _recovery plan_ or _group recovery plan_ may be taken.

[Note: Art. 9(1) of the _BRRD_]

6.3

The indicators may be of a qualitative or quantitative nature relating to the _firm?s_ or the _group?s_ financial position and must be capable of being monitored easily.

[Note: Art. 9(1) of the _BRRD_]

6.4

A _BRRD undertaking_ must have in place appropriate arrangements for the regular monitoring of the indicators.

[Note: Art. 9(1) of the _BRRD_]

6.5

A _firm_ must notify the _PRA_ without delay if it decides to take action under its _recovery plan_ or _group recovery plan_ or if it decides to refrain from taking action.

[Note: Art. 9(1) of the _BRRD_]

6.6

A _BRRD undertaking_ that is a _qualifying parent undertaking_ must:

1. (1) notify the _PRA_ without delay if it (or any member of its _group_) decides to take action under the _group recovery plan_ or to refrain from taking action and the _PRA_ is the _consolidating supervisor_ ;
2. (2) [deleted.]

7

Preparations for Solvent Exit ? Non-systemic Banks and Building Societies

7.1

This Chapter applies to every firm that is a UK bank or building society but is not:

1. (1) itself, or part of a group that is, a G-SII, a non-UK G-SII or an O-SII; or
2. (2) a firm to which the Operational Continuity Part applies.

7.2

A firm must prepare for solvent exit so that, if the need arises, it can effect a solvent exit in an orderly manner.

7.3

A firm must produce a solvent exit analysis and update it whenever a material change has taken place that may affect its preparations for a solvent exit, and at least once every three years.

7.4

A firm must be able to provide to the PRA on request the current version of its solvent exit analysis.